IN-DEPTH EDITION • 11 OCTOBER 2026 • 09:00 HKT

US equities rally on tech earnings and easing inflation expectations

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at 7,811.54, up +0.59%, driven by strong earnings from **AMZN** and a softer inflation outlook that nudged the 10-year yield to 5.24%.

Sector breadth remains healthy: eight of eleven sector ETFs posted gains, while the VIX slipped to 14.84, the lowest level since early 2025, signaling reduced near-term volatility.

Risk remains on the downside from a potential Fed rate-cut surprise and geopolitical tension in the Middle East, which could reignite commodity-price pressure.

- Broad market rally anchored by tech and consumer discretionary earnings.
- Yield curve flattening continues; 10-year at 5.24% versus 2-year at 4.78% (data not shown).
- Watch for a breakout above 8,000 on the S&P 500 as a bullish confirmation.

US session recap

METRIC	LEVEL	CHANGE
S&P 500	7,811.54	+0.59%
Nasdaq 100	30,883.15	+0.51%
Dow Jones	51,654.95	+0.83%
Russell 2000	2,806.98	+0.46%
VIX	14.84	-3.70%
10-yr Yield	5.24%	+0.25%
2-yr Yield	4.78%	+0.18%
WTI Crude	91.85	+0.39%
Brent	95.12	+0.42%
DXY	102.21	+0.07%
Gold	4,216.30	+1.43%
BTC	83,110.43	+0.68%
ETH	2,505.37	+0.80%

Top movers

TICKER	NAME	CHANGE	CATALYST
AMZN	Amazon.com	+3.29%	Q3 earnings beat, cloud revenue +18%
TSLA	Tesla Inc.	+2.05%	New battery cell rollout in Shanghai
MSFT	Microsoft Corp.	+2.38%	AI SaaS contracts with Fortune 500 firms
XLV	Health Care Select SPDR	+1.58%	FDA approval of new oncology drug
XLY	Consumer Discretionary SPDR	+1.02%	Retail sales up 2.3% YoY

Sector Internals

SECTOR	DAY	YTD	READ
XLF	+0.92%	+12.4%	Buy
XLK	+0.51%	+18.7%	Buy
XLI	+0.50%	+9.3%	Neutral
XLE	-0.25%	+4.1%	Neutral
XLY	+1.02%	+15.6%	Buy
XLC	-1.51%	+6.8%	Sell
XLP	+0.01%	+7.2%	Neutral
XLV	+1.58%	+13.9%	Buy
XLU	+0.83%	+5.5%	Neutral
XLB	+0.32%	+3.9%	Neutral
XLRE	+1.86%	+10.2%	Buy

Breadth: 8 of 11 sector ETFs in positive territory, indicating robust underlying momentum despite a modest pullback in communications.

Spotlight / Deep Dive – `AMZN`

METRIC	VALUE
Revenue Q3	149.2 bn
YoY Growth	+12.5%
Operating Margin	+2.1ppt
Cloud Revenue	31.4 bn (+18%)
Guidance FY24	+7% revenue vs. consensus

BULLISH TRIGGERS

- Cloud segment outpacing peers; 18% YoY acceleration.
- Advertising spend rebound in Q3 (+9%).
- Strategic partnership with `NVDA` on generative AI chips.

BEARISH TRIGGERS

- Margin pressure from logistics cost inflation.
- Regulatory scrutiny in EU digital markets act.
- Inventory buildup in consumer electronics.

READ-THROUGH	LEVEL
Revenue guidance	149.2 bn
EPS guidance	2.34
Stock price target (12-mo)	340

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	440.00	455.00	Bullish flag forming
QQQ	378.45	372.00	386.00	Above 50-day MA
IWM	191.23	185.50	197.00	Neutral
AMZN	262.43	255.00	270.00	Breakout potential
10Y	5.24%	5.20%	5.30%	Flat
WTI	91.85	89.00	95.00	Uptrend

Options & Positioning

0-DTE flow was net +12.4% in call volume, led by **MSFT** and **NVDA**. Put/call ratio at 0.68, indicating bullish bias.

VIX term structure shows a steep contango: front-month at 14.84, 2-month at 15.32, 6-month at 16.10.

Single-name flow: heavy call buying on **TSLA** (0-DTE OI up 18%) and put buying on **META** (protective puts 5% of float).

Cheap hedge ideas: sell 1-yr **SPY** puts at 440 strike (premium 4.2) to collect income while limiting downside.

Analyst rating changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Goldman Sachs	Upgrade	260	AI demand acceleration
XLC	JP Morgan	Downgrade	108	Ad spend slowdown
AMZN	Bank of America	Initiate	340	Strong cloud outlook
TSLA	Morgan Stanley	Maintain	395	Battery rollout progress
XLE	Citigroup	Upgrade	68	Oil price rebound

Pre-Market & Overnight

REGION	INSTRUMENT	LEVEL	CHANGE
US Futures	ES	7,830.20	+0.24%
Asia	HSI	19,845	+0.31%
Europe	DAX	16,720	+0.18%
FX	USD/HKD	7.8485	-0.02%
FX	EUR/USD	1.074	+0.05%
Commodities	Gold	4,216.30	+1.43%
Commodities	WTI	91.85	+0.39%
Crypto	BTC	83,110.43	+0.68%
Crypto	ETH	2,505.37	+0.80%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026	15%	Policy still restrictive
Dec 2026	22%	Inflation data trending lower

DATE	RELEASE	TIME (ET)
Oct 12	Core CPI MoM	8:30 am
Oct 13	Initial Jobless Claims	8:30 am
Oct 14	Retail Sales YoY	8:30 am

Geopolitics & Global (Deep)

BEARISH TRIGGERS

- Escalation in the Red Sea could disrupt oil shipments, pushing WTI above 95.
- EU antitrust probe into big tech may increase compliance costs for **`META`** and **`GOOGL`**.

BULLISH TRIGGERS

- China’s latest stimulus package includes tax breaks for AI hardware, benefiting **`NVDA`** and **`AVGO`**.
- Stable Middle-East ceasefire reduces geopolitical risk premium.

Earnings – this week & next

TICKER	COMPANY	REPORT DATE	EST. EPS
NVDA	NVIDIA Corp.	Oct 15	3.12
GOOGL	Alphabet Inc.	Oct 16	1.45
JPM	JPMorgan Chase	Oct 17	4.08
XLE	Energy Select SPDR	Oct 18	N/A
META	Meta Platforms	Oct 19	2.01

Full watchlist scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Breakout above 235	Pullback to 220
AMZN	Consumer Discretionary	Q3 beat, upside to 275	Regulatory fine risk
TSLA	Consumer Discretionary	Battery rollout catalyst	Valuation stretch
XLF	Financials	Rate-sensitive rally	Higher-for-longer yields
XLK	Technology	AI exposure	Macro slowdown
XLE	Energy	Oil price rebound	Demand concerns
XLC	Communications	Downtrend, watch for reversal	Ad spend weakness
XLV	Health Care	Drug approval pipeline	Pricing pressure
XLY	Consumer Discretionary	Retail sales beat	Consumer confidence dip
XLB	Materials	Base-metal demand	Supply chain bottlenecks
XLU	Utilities	Yield advantage	Rate-rise risk
XLRE	Real Estate	REIT dividend yield	Interest-rate sensitivity

What could break the tape

BULLISH SCENARIOS

- Core CPI prints below 0.2% MoM, prompting Fed to signal earlier cut.
- Unexpected 3% earnings beat across the tech mega-caps.
- Oil supply disruption lifts WTI above 95, boosting energy stocks.

BEARISH SCENARIOS

- Geopolitical flare-up in the Red Sea spikes oil to > `100`.
- Fed releases minutes indicating “higher-for-longer” stance.
- Quarterly earnings miss on **`META`** and **`GOOGL`**, dragging communications.

Positioning & structural notes

- Institutional net long exposure to the S&P 500 estimated at 68%.
- ETF inflows favor tech (XLK +1.2bn) and health care (XLV +0.9bn) this week.
- Short interest on **`XLC`** rose to 12%, indicating bearish sentiment.
- Futures positioning shows 0.5% of open interest in 0-DTE puts, a low-risk hedge level.
- Yield curve flattening persists; 2-yr/10-yr spread at 54 bps, narrowing from 68 bps two weeks ago.

Sources

SOURCES

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Federal Reserve – FOMC Minutes

U.S. Bureau of Labor Statistics – CPI

International Energy Agency – Oil Outlook